

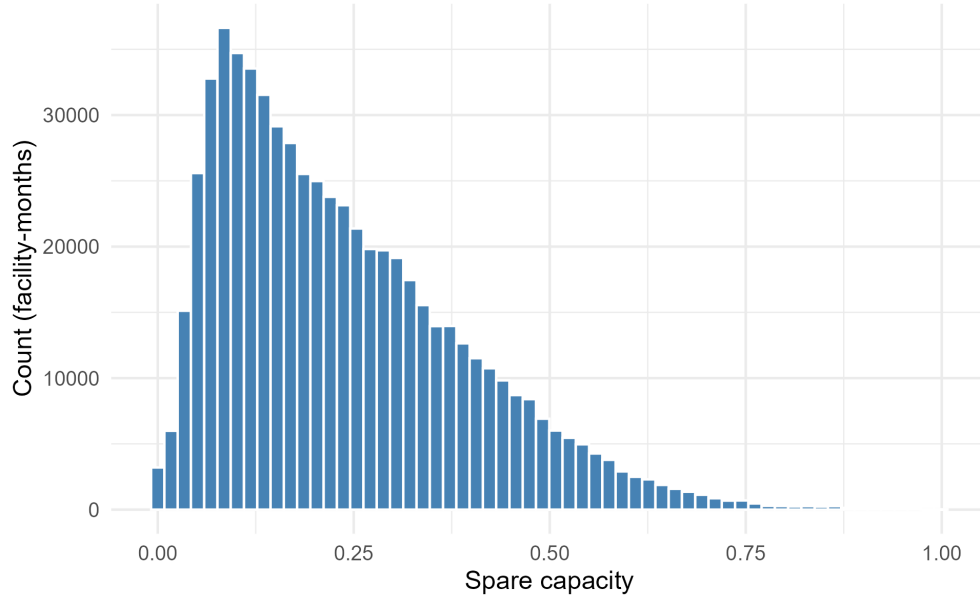


Figure 1: Distribution of Spare Capacity (Facility-Months)

Table 1: Summary Statistics:
Spare Capacity

Statistic	Value
N (facility-months)	626,311
Mean	0.236
SD	0.155
P10	0.066
P25	0.111
Median	0.203
P75	0.329
P90	0.457
Max	0.999

Notes: Spare capacity is defined as (certified beds – average daily census) / certified beds, computed from Medicare Cost Report data. Sample excludes the anticipation window used in the main staffing models.

Table 2: Effects of Ownership Change on Occupancy, Payer Mix, Spare Capacity, and Length of Stay

Outcome	No controls	Controls	Observations
Occupancy rate	2.649*** (0.336)	2.784*** (0.343)	626,307
Medicare share	1.358*** (0.205)	1.223*** (0.216)	626,307
Medicaid share	-0.900 (0.557)	-1.715*** (0.575)	626,307
Spare capacity	-0.026*** (0.003)	-0.028*** (0.003)	626,307
Average length of stay	-11.436*** (4.071)	-13.559*** (4.513)	614,480

Notes: Each cell reports the coefficient on *post*, with standard errors in parentheses. All models include facility and calendar-month fixed effects. The controls column adds beds, government ownership, nonprofit ownership, and chain affiliation.

Spare capacity mean is 0.236; the no-controls coefficient implies a -11.1% change relative to the mean, and the controls specification implies a -11.7% change.

Standard errors are clustered two ways by facility and calendar month. Statistical significance: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

Table 3: Effects of Ownership Change on Short-Stay Quality Measures

Outcome	No controls	Controls	Observations
Moderate/severe pain	-1.446** (0.574)	-1.624** (0.545)	48,990
New/worsened pressure ulcers	0.065 (0.087)	0.082 (0.092)	41,982
Pneumococcal vaccine	-3.719*** (0.627)	-4.636*** (0.677)	180,687
New antipsychotic medication	-0.008 (0.043)	-0.012 (0.048)	149,556
Improved function	0.312 (0.500)	-0.279 (0.590)	110,447
Influenza vaccine	-3.386*** (0.609)	-3.913*** (0.664)	144,903

Notes: Each cell reports the coefficient on *post*, with standard errors in parentheses. All models include facility and calendar-quarter fixed effects. The controls column adds beds, government ownership, nonprofit ownership, chain affiliation, occupancy rate, Medicare share, and Medicaid share when available.

The ownership-change quarter is excluded from the short-stay quality regressions.

Standard errors are clustered two ways by facility and calendar quarter. Statistical significance: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.